सीमाशुल्क आयुक्त (आयात) का कार्यालय
OFFICE OF THE COMMISSIONER OF CUSTOMS (IMPORT),
मुंबई ज़ोन -III, जन संपर्क अनुभाग, हवाई माल संकुल
MUMBAI ZONE – III, PRO CELL, AIR CARGO COMPLEX,
सहार, अंधेरी (पूर्व), मुंबई- ४०० ००९९
SAHAR, ANDHERI (EAST), MUMBAI – 400 099
e-mail- proaccsahar@gmail.com Phone-022-22816696

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दिनांक 27.02.2019 को सम्पन्न स्थायी व्यापार सुविधा कमिटी की बैठक का कार्यवृत

MINUTES OF THE PERMANENT TRADE FACILITATION COMMITTEE MEETING HELD ON 27.02.2019

स्थायी व्यापार सुविधा कमिटी की मासिक बैठक दिनांक 28.03.2019 को 11.30 बजे हुई। जिसकी अध्यक्षता श्री विनायक आज़ाद और श्री अनंत कृष्णन द्वारा की गयी।

The monthly meeting of the Permanent Trade Facilitation Committee (PTFC) held on 28.03.2019 at 11.00 A.M. was presided over by Shri Vinayak Azaad, Commissioner of Customs (Import) & Shri Ananth Krishnan Commissioner of Customs (Export).

निम्नलिखित अधिकारियों व हितधारी संगठनों के प्रतिनिधि ने इस बैठक में भाग लिया।

Following officers and representatives from the stakeholder organizations participated in the meeting:

नाम व पद/ Name & designation	संगठन/Organization
श्री सुखजीत कुमार/Shri Sukhjit Kumar, अपर आयुक्त (आयात)/Addl. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री पवन खेतान Shri Pawan Khetan, संयुक्त आयुक्त (आयात)/Jt. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री तपन कुमार Shri Tapan Kumar, संयुक्त आयुक्त (निर्यात)/Jt. Commissioner (Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री अरुण चौधरी/Shri Arun Choudhary उप. आयुक्त (आयात)Dy. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री बी. के. मोहन्ती/ Shri B. K. Mohanty सहायक आयुक्त, (जनरल)/Asst. Commissioner(General)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री बी. विनायक/ Shri B. Vinayak सहायक आयुक्त (आयात)/Asst. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
Shri Mahendra M Kholwadwala सहायक आयुक्त (आयात)/Asstt. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
Shri K. D. Gohil/श्री एस. डी. गोहिल सहायक आयुक्त/Asst. Commissioner (APSC)	Airport Special Cargo, हवाई अड्डा विशेष कार्गो
Shri R. P. Borker/श्री आर. पी. बोरकर सहायक आयुक्त (आयात)/Asstt. Commissioner(Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी

Name of attendees from stakeholder organizations	संगठन/Organization
Shri Ashok Satavase, Cdr.Lokesh (Retd.), Mohamed Nasir, Shri Nandan Kanchan	MIAL (Custodian)
Shri Kaushal H. Thakker	BCBA (formerly known as BCHAA)
Ms. Vaishali Kulkarni	COSIA
Ms. Jyotsna Patil	JET Airways
Shri Bala Ayer, Shri Vineet Agarwal, Mohsin G. Charania	ACAAI
Shri K. D. Dhule,	Air India & AIATSL
Ms. Jyotsna Patil	JET Airways

Shri Sanjay Patankar, Shri Prasad Gengusetti	Emirates Cargo
Shri Paresh Shah	WISA
Sandeep B.Kadam	Liladhar pasoo
Shri Sunil Kumar Singh	SBI
Mr.Zubin Daver	Cathay Pacific

At the outset the Commissioner of Customs (Import) and the Commissioner of Customs (Export) welcomed the members of trade Customs Brokers, Airlines Representatives, Custodian Representatives, and other stake holder present in the meeting and started the meeting. During the meeting following agenda points were discussed.

(i). Points discussed in the previous meeting

A. Time Bound schedule required for creation of Import Shed for General Cargo at ACC Mumbai:

In the previous meeting the representative of BCBA submitted that with a view to handle higher volumes at ACC Mumbai it is suggested that MIAL should provide facility for handling general import and export cargo with a bigger warehouse and truck docking area to the trade on urgent basis.

The MIAL agreed to these observations and informed the house that they have already started the work in a time bound manner and is expected to be completed within 18 months time. The members wanted the detailed plan to be shared with the stakeholders for suggestion for which MIAL agreed.

(Point Closed)

B. Timely intimation of damaged cargo at the time of forwarding itself:

In the previous meeting the representative of BCBA submitted that intimation of damaged packages of import consignments are known only when the warehouse charges are paid online. The procedure of insurance survey is getting delayed by one or two day's minimum in the absence of damage notice. The Custodian is requested to display the "damage notice" on the screen, so that while making online transaction with custodian, the members are aware to hold the survey of that particular damaged consignment quickly.

The AIATSL informed that they have started the facility to inform the importers/CBs about the damaged Cargo at the forwarding stage. The representative of trade also confirmed the same.

(Point Closed)

C. Air India/AIATSL is not issuing the Cargo Arrival Notice on or before arrival of the import consignments:

In the previous meeting the representative of BCBA submitted that Air India/AIATSL is not issuing the Cargo Arrival Notice on or before arrival of the

import consignments, there is a delay happening when consignment is addressed to Bank A/c Importer's name. Air India/AIATSL is adamant to accept the request from the CB/Importer when the goods physically arrived but flight is not checked (even after four days of arrival) or location in the shed is not given to the packages. Each and every Airline are proactive, they are issuing Cargo Arrival Notice on or before arrival to meet the requirements of the importer to clear their consignment without delay.

The representative of AIATSL informed that they are in the process of establishing this facility soon.

(Point closed)

D. Singapore Airlines insisting for Demand Draft for payment of DO Charges:

In the previous meeting the representative of BCBA had submitted that Customs, ACC, Mumbai had issued Facility Notice No. 16/2016 dated 18.11.2016, wherein it is clearly stated that airline consolidation etc. should accept cheque from custom brokers for timely clearance. However trade members are facing difficulty in obtaining Delivery Orders from the Singapore Airlines, as they are insisting for payment through demand draft only and refuse to accept Cheque for payment. Because of a Bank Holiday or unable to reach to the office of the Singapore Airlines due to distance from the issuing Bank location the member are facing difficulty in obtaining Delivery Orders from Singapore Airlines.

The representatives of Singapore airlines informed that they are accepting cheques from appointed agencies. For others, they may deposit Rs. one Lakh in advance to them and their charges may be deducted from this pre-deposit.

The members of trade/CBs opposed this proposal and insisted that the airlines must accept cheques which is a legal tender for payments.

The Commissioner of Customs directed the representative of Singapore airlines to take up the issue with their head office and resolve the issue by next meeting.

(Action: Singapore Airlines)

E. Issue with EDPM:

In the instant meeting the representative of BCBA submitted that many a times Shipping Bills are not electronically transmitted to AD Bank. This may happen due to system errors or multiple LEOs of same shipping bills. In such cases, the bank does not release the exporter's payment on the strength of hard copy of Shipping Bills. They have informed that in similar situations in case of Bill of Entry, the bank allows outward remittance based on hard copy of Bill of Entry but does not allow inward remittance on the strength of manual Shipping Bills.

The Commissioner (Export) informed that the matter is already been taken up. The meeting with RBI representative could not happen and is expected to be convened soon. Since issue is already been taken up for resolution, the point may be closed.

(Point Closed)

F. Non Compliance of GST law by Air India:

In the previous meeting the representative of BCBA submitted that Air India is not complying with GST taxation laws at the time of collection of warehouse charges in cases of part clearance as GST number is not printed/mentioned on the bank challans and payment receipts.

The representative of AIATSL informed that they have started issuing invoice as per GST Act, which contains all necessary details. They also showed some sample invoices.

(Point Closed)

G. Procedure for surrendering MEIS similar to the procedure as introduced in Export for surrendering Drawback:

In the previous meeting the representative of ACAAI submitted that as per point b (i) of Public Notice 17/2018 dated 13 July 2018 issued by DGFT, MEIS has to be surrendered with Customs. They requested that any voluntary surrender of MEIS may be allowed to follow the same procedure as that of surrender of Drawback, as per PN 74/2018 dated 15.06.2018 issued by the Commissioner of Customs (Export), ACC, Mumbai. This will save a lot of time.

The Commissioner (Import) directed the DC/PRO to examine the issue in consultation with the ACAAI to find out exact nature of problem faced by Trade and come up with the possible solutions, by next meeting.

(Action: Customs)

H. Availability of License / Authorization ledger balance

The BCBA, in the last meeting had requested that license ledger balance should be available to the concerned importer / broker easily. This is very essential since physical manual debiting has been discontinued totally. Entire debit of Authorization is online and it is very important for trade and industry to check the license balance in the ledger and hence the same should be available without any hindrance. They accordingly requested to issue necessary facility notice towards the same for ease of doing business.

The ADC (import) informed that being a system issue, the matter will be taken up with DG, System.

(Customs - Import)

New Agenda points taken up in the Meeting

Point raised by BCBA

I) Implementation of CBIC Circular 09/2019 for Turrant Custom Clearance

The BCBA thanked the Department and its officials for clearing the backlog created due to implementation of Turrant Custom Clearance process.

They informed that after implementation of this mechanism the Trade and CBs are facing certain issues which need to be resolved.

The ADC(Import) informed the members of Trade/CBs that being a new facility, it required some time to settle the new mechanism. Being a new facility, it is bound to create some hurdles, which will be cleared during the transition period itself. However, BCBA may list out the issues which are causing hurdles in smooth clearance of goods and submit the same to the Department so that same can be taken up with the DG (system).

(Action: BCBA)

J) Delay in Issuance of Delivery order by DHL causing delay in clearance.

The BCBA informed that timely clearance and utilization of morning hours is defeated due to delay in issuance of Delivery Orders by M/s. DHL. The DO for flights which have landed in the night and for which all payments have been made to DHL are issued only in the second half of next day. If these DOs are issued by 10:00 AM by DHL they could clear the consignments during first half of the day when there is less rush.

The representative of DHL informed that they have not observed any such delay. They informed that they collect feedback from their customers and as per these feedbacks their time gap in issuing DO is around 30 minutes. They have brought some of the feedback forms.

The BCBA disagreed and informed that their contention is about flights landing in night for which the DOs are not being issued timely so that the morning hours could be utilized.

The representatives of DHL agreed to look this aspect of problem and asked BCBA to provide some Airway Bills where delay has occurred, so that they could examine the issue and take remedial action.

(Action: DHL/BCBA)

(K). MIAL not allowing forwarding of RMS packages for PGA NOC's.

The BCBA informed that there is delay in clearance of RMS Bill of Entry for the goods covered under the CTH 28, 29, 30 & 38. The custodian is not allowing to forward the packages for ADC clearance as the marking of the goods or samples are required before clearance by the Drug Controller. The CB/Importers has to run pillar to post for the request to the custodian to provide the packages for ADC purpose which they denies and asks "Customs Permission" is required.

The Commissioner (Import) enquired from the representatives of MIAL the reasons for such refusal. ADC(Import) informed that Custom has not issued any such restriction on release of goods for PGA Noc's and packages should be made available to Trade/CBs.

The representative of MIAL informed that they are ready to allow the forwarding of RMS packages if the Shed Officials give permission for the same.

Accordingly Commissioner(import) stated that permission of shed Appraiser/Shed DC will be taken for such cases and MIAL shall give the forwarding.

(Point Closed)

M) Delay in delivery of Cargo

The Representative of ACCAI raised the issue that in the Import truck dock area, there is delay in delivery of cargo after OOC. There is no proper supervision. There members trucks which are parked in the truck dock are forcibly removed by the security even though the loading is not complete.

The representative of MIAL disagreed to that and informed that they have sufficient space and human resource to handle the trucks however only those trucks whose goods are not ready for gate out are kept aside till there goods arrived for loading. He promised that they will look into this and take further steps for smooth operations.

(Action: MIAL)

N) Delay in Clearance of Shipping Bill

In exports any shipping bill having DBK of more than Rs 50,000.00 is subjected to extra procedure thus delaying LEO. The EO will write in his report that the DBK is more than Rs 50,000.Then we have to go the Superintendent for his signature, then go the AC / DC for his approval then go back to the EO with AC / DCs approval and then go back to the superintendent for LEO. This delays the printing of LEO by more than one hour. We request you please to reduce the procedure. Please give authority to the superintendent to approve DBK upto five lakhs, so that he can grant LEO without delay. If the Superintendent has any doubt, he can always mark it to the AC / DC for his approval.

The commissioner(X) informed that these limits are set by the Board and cannot be changed at local formation level.

(Point closed)

With the permission of Chair,
Following Point's were raised by CATHAY PACIFIC

1. <u>NEFT Facility for fines and amendment payments :</u>

Airline would like to avail the NEFT facility for payment of amendment fees and fines for penalty applicable, so same would make the process faster as getting the cheques from Finance team's takes 3 days and results in demurrage.

The Commissioner(X) informed that the matter has already been taken up with DG system to allow payment of fine and penalty through electronic modes and it is expected that facility may be available soon.

(Point Closed)

2. <u>Signing of Segregation report in Batches:</u>

The representatives of Cathay pacific airlines informed that sometimes segregation of cargo takes time and the Batch officer changes till it ends. The next batch officer refuse to sign the segregation report and airline has to wait till the same officer is again posted.

3. <u>Misrouted Cargo</u>:

The representative of Cathay Pacific airlines informed that the clearance of Mis-routed Cargo takes very long time, sometime in week and need to be streamlined as the misrouting of packages occurs due to human error. They stated that the procedure being followed by ACC, Delhi be followed at ACC, Mumbai.

The Commissioner (I) opined that since issue of Sr. 1& 2 pertains to General Commissionerate, the issue will be taken up with them. Further as far as point no. 3 is concerned, the Commissioner told them to give the details of PN/SO being followed by ACC, Delhi to examine the same and if needed, necessary guidelines can be issued.

बैठक का समापन अध्यक्ष महोदयों को धन्यवाद ज्ञापन के साथ हुआ।

The meeting ended with thanks to the Chairman.

यह स्थायी व्यापार सुविधा कमिटी के अध्यक्ष महोदय आयुक्त महोदय (आयात) और आयुक्त महोदय (निर्यात), अंचल-III के अनुमोदन से निर्गत किया जाता है।

This issues with the approval of the Commissioner of Customs (Import) and Commissioner of Customs (Export), Mumbai Customs Zone-III.

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s/d on 18.04.2019

(सुखजीत कुमार/Sukhjit Kumar)
अपर आयुक्त सीमाशुल्क (आयात)
Addl. Commissioner of Customs (Import)
हवाई माल संकुल, सहार, मुंबई
Air Cargo Complex, Mumbai

COPY TO:

1. Chief Commissioner of Customs, Zone-III, Mumbai - For kind information, please.
2. Pr. Commissioner / Commissioner of Customs, Import / Export / General, ACC.
3. All Addl./Jt./DC/AC Commissioner of Customs, Import / Export / General, ACC.
4. All members of PTFC meeting (via E-mail)
5. E &T Section/PSO Section for circulation in Export/General Commissionerate.
6. EDI Section- For uploading on ACC Website.
7. Office copy.